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PROJECT 11 / BUSINESS ANALYTICS

# MSME INDIA 360° ANALYSIS

## Which Indian States Have the Strongest MSME Ecosystem?

A data-led view of registrations, credit support and employment.

**01**
**REGISTRATIONS**
Where businesses are

**02**
**CREDIT**
How finance is distributed

**03**
**EMPLOYMENT**
Where jobs are created

SQL Server • Python / Pandas / NumPy • 36 States & UTs


**Group Members:**

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# Data & Analytical Approach

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Three state-wise datasets combined into one decision-support view

01

## Registrations

Micro, small and medium enterprise counts; total registrations and micro share.

02

## Credit support

Loan counts, sanctioned/disbursed amounts, disbursement rate and average credit.

03

## Employment

Male/female employment, total workforce, female share and employment per MSME.

## Workflow

1 **Profile & validate**

2 **Standardize state names**

3 **Analyze with SQL / Python**

4 **Merge all 3 datasets**

5 **Interpret business patterns**

Validation reported: no nulls or duplicate rows; registration totals reconciled; state/UT sets matched; final merged dataset contains 36 rows.

# Executive Summary

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A 360° view of MSME registrations, credit support and employment

**HIGHEST REGISTRATIONS**

**2.21M**

Uttar Pradesh

**HIGHEST TOTAL CREDIT DISBURSED**

**₹33,473 Cr**

Maharashtra

**HIGHEST MSME EMPLOYMENT**

**7.78M**

Maharashtra

**CREDIT GAP FLAG**

**20 / 36**

55.6% under project rule

## What stands out

- MSME scale, credit and employment leadership do not always sit with the same state.
- 20 of 36 States/UTs fall below the project's average-credit benchmark.
- Only five States/UTs meet the project's MSME Leader criteria.

## The Central Takeaway

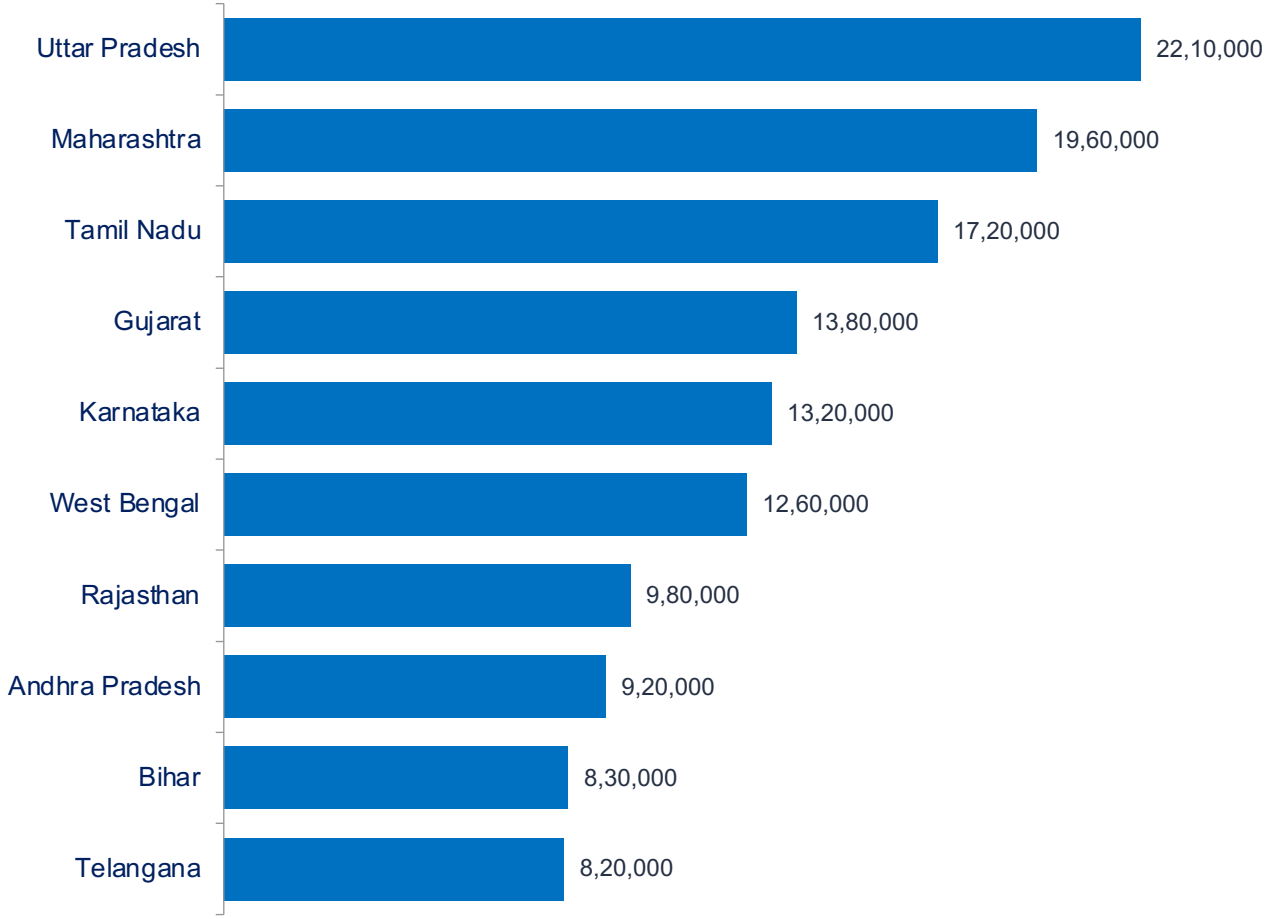
A strong MSME ecosystem cannot be judged by registration counts alone. The combined view helps identify where further investigation into credit access and job creation may be valuable.

# MSME Registration Landscape

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Where is the registered enterprise base concentrated?

## Top states by total MSME registrations




**#1 BY REGISTRATIONS**

**Uttar Pradesh**

2.21 million registered MSMEs

**MICRO ENTERPRISE SHARE**

**91.6%**

Average across the 36 States/UTs

### Business Interpretation

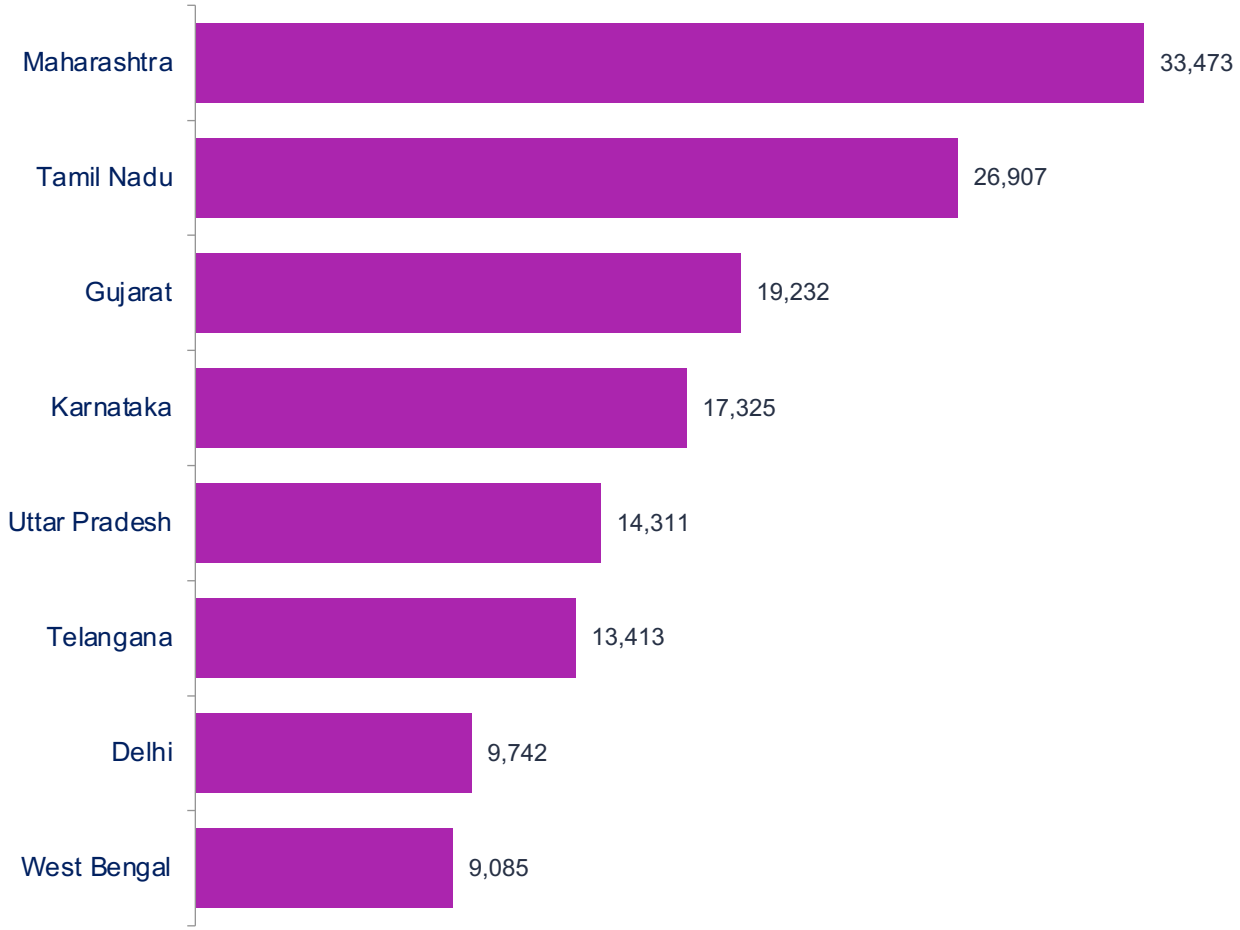
Registration scale indicates presence
not necessarily productivity or financial health.

# Credit Support: Scale vs Reach

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Total disbursement and credit per MSME answer different questions

## Top states by total credit disbursed (₹ crore)




**AVERAGE DISBURSEMENT RATE**

**86.5%**

Across the dataset

**HIGHEST AVERAGE CREDIT PER MSME**

**₹2.07 lakh**

Dadra & Nagar Haveli and Daman & Diu

**Credit-gap signal**

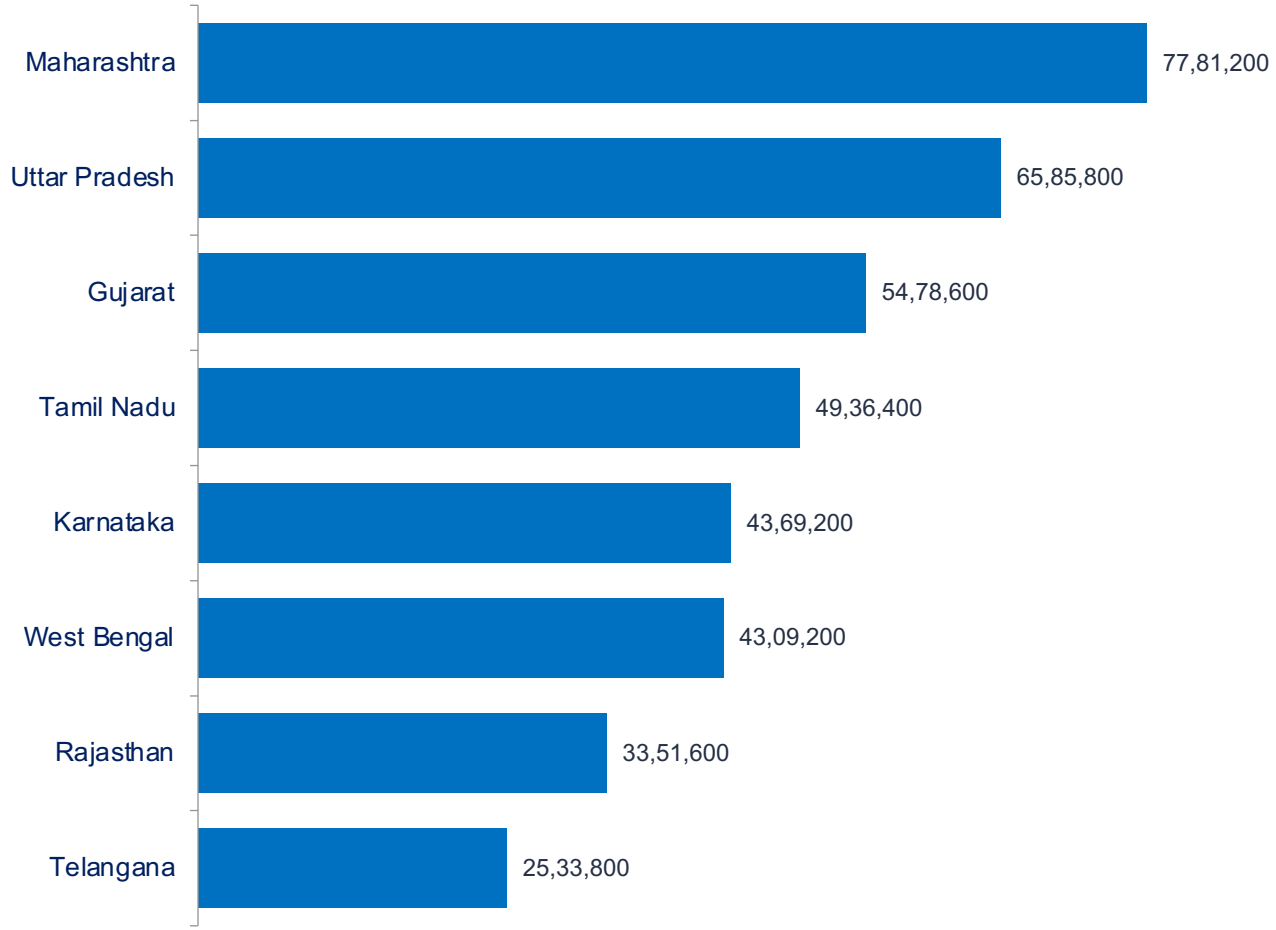
20 of 36 States/UTs (55.6%) are below the average-credit threshold of ₹ 1.1 lakh.

# MSME Employment

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Total jobs, jobs per enterprise and women's participation

## Top states by total MSME employment




**HIGHEST TOTAL EMPLOYMENT**

**7.78 million**

Maharashtra

**HIGHEST EMPLOYMENT / MSME**

**3.97**

Gujarat and Maharashtra

**AVG. NO. OF EMPLOYEES / MSME**

**2.85**

# MSME Inclusion

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Women's participation in MSME employment remains relatively low

- Average female employment share: 25.82%.
- Kerala has the highest female employment share at 36%.
- Bihar the lowest at 17%.
- Even the highest state-level share is below 40%.

**Business insight:**

- The MSME sector has an opportunity to improve women's participation in the workforce.
- Increasing women's participation can help businesses access a wider talent pool.

**Business opportunity:** Financial institutions, government agencies, and MSME support organizations can develop targeted programs to encourage women's participation in the sector.

# The 360° View: Different States, Different Strengths

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Combining indicators reveals patterns a single ranking can miss

### Dadra & Nagar Haveli and Daman & Diu

**₹2.07 lakh average credit per MSME**

3.42 employees per MSME

### Maharashtra

**₹1.71 lakh average credit per MSME**

3.97 employees per MSME

## What this comparison suggests

Higher average credit does not automatically correspond to higher employment per MSME.
The pattern invites further analysis; it does not establish cause and effect.

| | |
|---|---|
| 5 | MSME Leaders |
| 20 | Credit Gap flags |
| 6 | Employment Gap flags |

# Key Insight on MSME category analysis

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Combining indicators reveals patterns a single ranking can miss

### MSME Leaders — 5 states/UTs

Gujarat, Karnataka, Maharashtra, Tamil Nadu, Telangana

Strong registration base, credit per MSME, and employment per MSME.

### Credit Gap — 20 states/UTs

Average credit per MSME is below the dataset-wide average.

### Employment Gap — 6 states/UTs

Average employment per MSME is below the dataset-wide average.

### Emerging Ecosystem — 5 states/UTs

States that do not meet the conditions for the other three categories.

# Business Recommendations

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Use the analysis to prioritize investigation—not jump to unsupported conclusions

**01 Validate credit constraints**

Review loan applications, rejections and unmet financing needs in states below the average-credit benchmark.

**02 Investigate job creation**

Compare sector mix, enterprise size and employment trends in states flagged for lower average employment.

**03 Learn from ecosystem leaders**

Study Gujarat, Karnataka, Maharashtra, Tamil Nadu and Telangana to identify practices worth testing elsewhere.

**04 Explore inclusion patterns**

Investigate factors behind differences in female employment share before designing interventions.

# Conclusion & Next Steps

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From descriptive analysis to evidence-led decisions

## What we learned

- Uttar Pradesh leads the dataset in MSME registrations.
- Maharashtra leads total credit disbursement and total MSME employment.
- Credit and employment indicators vary across states; one ranking is not enough.
- The project's rule-based classifications help flag states for closer investigation.

## Important limitations

- Descriptive, state-level data only
- Below-average values are screening flags
- Associations do not prove causation
- More data is needed on loan demand, industry mix and business outcomes

**Final message: measure the ecosystem across registrations, finance and jobs—then investigate the gaps with targeted evidence.**